

Credible on Paper? Evaluating the Effect of Green Banking Policy on Firms' Green Investment in Emerging Economies

Quang-Vinh Dang^{a,*}, Thi-Hong-Hanh Nguyen^b

^a*British University Vietnam, Hung Yen, Vietnam*

^b*Banking Academy Vietnam, Hanoi, Vietnam*

Abstract

More than sixty emerging and developing economies have adopted green banking guidelines through the Sustainable Banking and Finance Network (SBFN). The policy's theory of change holds that supervisory guidelines lead banks to price environmental risk, so that credit flows to firms investing in cleaner production. We evaluate two links in that chain. At firm level, using two independent World Bank Enterprise Survey samples (28,042 firms in 41 economies; 89,797 firms in 162 economies) and four estimators, bank credit is associated with 13-percentage-point higher green-practice adoption, but the association is the same in adopting and non-adopting economies (0.076 versus 0.072 in a causal forest) and does not vary with regulatory quality. At country level, a staggered-adoption event study of 217 economies finds no effect on renewable-energy share, and a CO2 association that appears to reflect which economies join. The guidelines show no detectable effect on the

*Corresponding author.

Email addresses: vinh.dq4@buv.edu.vn (Quang-Vinh Dang),
hanhnh1@hvn.edu.vn (Thi-Hong-Hanh Nguyen)

margin they target.

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Corresponding author: Quang-Vinh Dang, British University Vietnam, Hung Yen, Vietnam. Email: vinh.dq4@buv.edu.vn.

ORCID: Quang-Vinh Dang: 0000-0002-3877-8024. Thi-Hong-Hanh Nguyen: 0009-0006-7821-7404.

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structured for this paper and the full analysis and replication code are available at <https://github.com/vinhqdang/green-credit-substitution>.

CRedit authorship contribution statement: **Quang-Vinh Dang:** Conceptualization, Methodology, Software, Formal analysis, Data curation, Writing – original draft. **Thi-Hong-Hanh Nguyen:** Conceptualization, Investigation, Validation, Writing – review & editing.